

FREE CHECKLIST | FOR ARCHITECTS & INTERIOR DESIGNERS

The Milestone Money Blueprint

Your drawings are approved. Your contract is signed. Your bank balance still says Rs 4,200. This 5-step checklist turns irregular milestone payments into a steady monthly income.

Designing buildings. Designing a life. Designing the cash flow.

30%

Advance

20%

Concept

20%

Design dev.

15%

Drawings

10%

Site stage

5%

Handover

A typical milestone schedule. Your income arrives in steps. Your expenses do not.

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Money systems for design professionals

Educational checklist, not tax or legal advice. Confirm rates, limits and due dates with your CA.

The problem is timing, not talent

Income by milestone. Expenses by month.

Architects plan every millimetre of a building but are rarely taught to plan the millimetres of their cash flow. Your fees arrive in a few large payments after approvals. Rent, salaries, software and bills arrive every single month. The gap between the two is what empties your bank balance, and it has nothing to do with your talent.

Good news: timing can be designed, like anything else. Follow these five steps.

1	Fix the contract	Advance first, milestones tied to approvals, clear due dates.
2	Split every payment	Move money into tax, studio, salary and savings the day it lands.
3	Pay yourself a fixed salary	Average your income and take the same amount every month.
4	Use three accounts	Operating, Tax, and Salary & Savings. Never mix them.
5	Do a 15-minute monthly check	Chase invoices, confirm next month, update your tracker.

THE ONE RULE

Never spend a payment until it has been split.

Steps 1 and 2

Protect your income, then split it.

1 Fix the contract (before you sign)

Cash-flow problems usually start in the agreement, not the bank.

- ☐ Advance of 30-40% received before any work starts.
- ☐ Payments tied to milestones: Concept, Design Development, Drawings, Site, Handover.
- ☐ A due date on every invoice (7-10 days).
- ☐ "Deemed approved" clause if the client delays sign-off.
- ☐ Cap on revision rounds, with extra rounds billed.
- ☐ Late-payment clause, and work pauses if payment is late.

2 Split every payment the day it lands

Suggested starting split of your fee (after TDS, excluding GST). Edit the percentages to suit you.

20% Tax vault	30% Studio	35% Your salary	15% Savings
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Worked example: client pays Rs 1,00,000 fee + 18% GST (invoice Rs 1,18,000), no TDS.

Where it goes	Amount	Account
GST collected (belongs to the government)	Rs 18,000	Tax vault
20% of fee: income tax set-aside	Rs 20,000	Tax vault
30% of fee: studio expenses	Rs 30,000	Operating
35% of fee: your salary	Rs 35,000	Salary & Savings
15% of fee: savings and buffer	Rs 15,000	Salary & Savings

If the client deducts TDS, the bank credit is lower, but TDS counts as tax already paid. Adjust the tax percentage with your CA.

Contract red flags to fix before signing

- Payment only "on completion", with no advance.
- Approval stages with no deadline for the client to respond.
- Unlimited revisions included in the fee.
- No consequence for late payment.

Steps 3, 4 and 5

Pay yourself steadily, keep money in separate homes, review monthly.

3 Pay yourself a fixed monthly salary

Steady pay from unsteady income.

- ☐ Add up the fee income you received in the last 6 months, then divide by 6.
- ☐ Multiply by your salary share (35% in the starting split). That is your fixed monthly salary.
- ☐ Transfer it from the salary vault on the same date every month.
- ☐ Hold a buffer of 3 months of studio expenses before you raise your salary.

4 Set up three accounts

Separate accounts stop tax and studio money from being spent on life.

OPERATING

Receives client payments. Pays rent, team, software and site costs.

TAX

Holds GST collected, income tax set-aside and advance tax money. Do not touch.

SALARY & SAVINGS

Holds your fixed pay, emergency fund and SIP investments.

5 Do a 15-minute check every month

Pick one day. Put it in your calendar.

- ☐ Update your tracker: what is invoiced, received and still pending.
- ☐ Chase every invoice that is past its due date.
- ☐ Confirm next month's salary and studio costs are covered.
- ☐ Match TDS deducted with Form 26AS.
- ☐ Move any new payments into the right accounts.

Salary example

Fee income received in the last 6 months: Rs 7,85,000. Average per month: about Rs 1,30,800. Salary share 35%: a fixed salary of about Rs 45,800 a month, paid on the same date, whether or not a milestone landed.

India-specific reminders

Confirm every date and limit with your CA.

- Advance tax is due on 15 June, 15 September, 15 December and 15 March.
- Professionals on presumptive taxation (Section 44ADA) can usually pay in one instalment by 15 March. Limits apply.
- Clients often deduct TDS (commonly 10% on professional fees), so your bank credit is lower than the invoice.
- GST you collect belongs to the government. Move it to the Tax account the same day.
- Keep every contract, invoice and approval email. They are your proof if a payment is disputed.

Your 7-day start plan

One small action a day.

- ☐ Day 1: Open your Operating, Tax and Salary & Savings accounts.
- ☐ Day 2: List every unpaid milestone and its due date.
- ☐ Day 3: Send polite reminders for anything overdue.
- ☐ Day 4: Work out your 6-month average income.
- ☐ Day 5: Choose a fixed salary date and set up the transfer.
- ☐ Day 6: Update your contract template with the Step 1 clauses.
- ☐ Day 7: Do your first 15-minute monthly check.

Want it done for you?

The Milestone Cash-Flow Tracker (Excel) splits every payment automatically, averages your salary, and warns you about low-balance months before they happen.

DM at [@fundedbydesign](#) to receive the TRACKER

My numbers

Fill these in once, then keep this page handy.

My fixed monthly salary

My salary transfer date

My buffer target (3 months of costs)

My next advance tax date

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